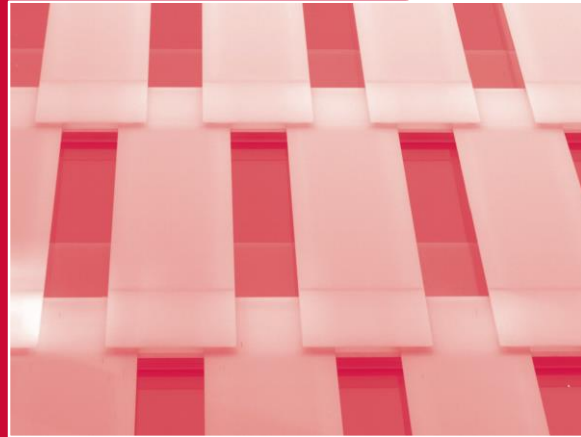




## Financial Statements presentation, reclassification and analysis

### Part 1



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# AGENDA

1. Understanding the Business
2. External decision-makers. F/S presentation
3. Internal decision-makers
4. F/S reclassification. Key indicators
  - 4A. B/S reclassification
  - 4B. I/S reclassification
  - 4C. Comparative Analysis
5. Ratio Analysis
6. FSA in the real-life world

PART 1



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# 1. Understanding the Business



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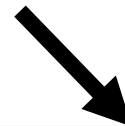
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# Financial statements provide information to:



## External Decision Makers

- Present and potential owners
- Investment analysts
- Creditors
- Banks
- Tax Authority



## Internal Decision Makers

- Board of Directors
- Managers
- Key employees
- Consultants

**Financial Statements**



*help people make better economic decisions.*



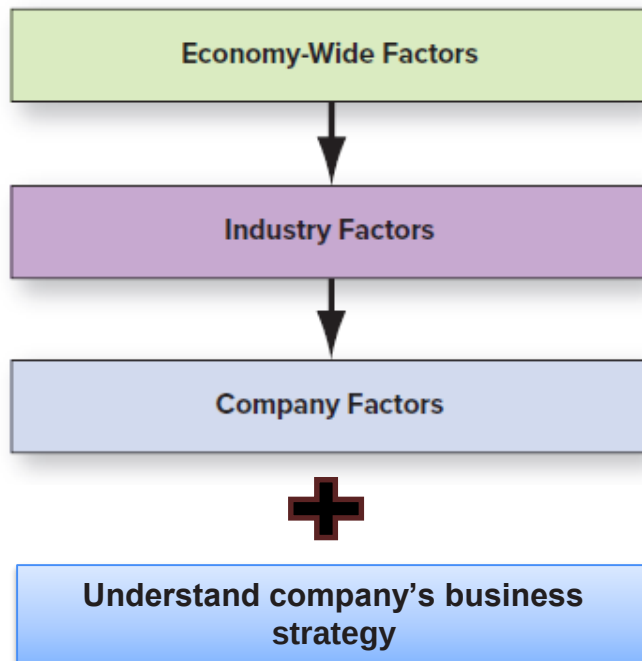
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**PUBLISHED** financial statements

*are designed primarily to meet the needs of external decision makers.*

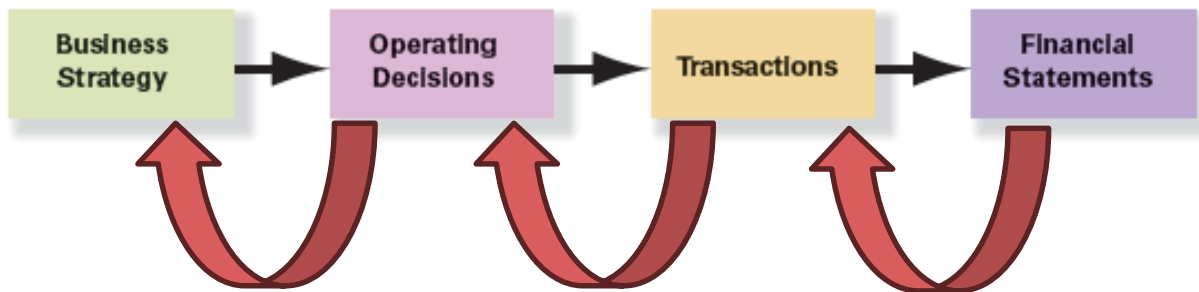
# The Investment Decision (1 of 2)

In considering an investment in stock, investors should evaluate the company's future income and growth potential on the basis of:



# Understanding a Company's Strategy (1 of 2)

While financial statements reflect transactions, each of those transactions is the result of a company's operating decisions as it implements its business strategy.



Because financial statements are the primary documents that represent a company, a thorough understanding of them is essential to fully grasp the company's business purpose, operations, and mission.



# Understanding a Company's Strategy (2 of 2)

Businesses can earn a high rate of return by following different strategies. There are two fundamental strategies:

- 1) Product differentiation
- 2) Cost differentiation

Here are some examples:

| Industry      | BASIC STRATEGIES        |                      |
|---------------|-------------------------|----------------------|
|               | Product Differentiation | Cost Differentiation |
| Cars          | Tesla                   | Kia                  |
| Airlines      | Singapore Airlines      | Spirit Airlines      |
| Retail Stores | Apple                   | Best Buy             |

Financial analysis begins with a solid understanding of a company's business strategy. Read the annual report (10-K), the letter from the president and management's discussion and analysis (MD&A), other reports (e.g., sustainability or ESG reports), as well as articles in the business press.



## 2. External decision makers. F/S presentation



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# EXTERNAL DECISION MAKERS (1/2):

## LIMITED INFORMATION PACKAGE AVAILABLE

The external decision makers (existing and potential shareholders, lenders, employees with limited access to financial information, suppliers, clients,...) have access ONLY to the "official" financial statements of a limited liability company, downloadable from the Public Register of Companies (and on the website, on a voluntarily basis). These statements show:

- Aggregated data
- Limited information
- *In many cases, only details required by the applicable law*

*Examples: you don't have information on the list of customers and/or suppliers and obviously, on the contractual agreements in terms of discounts, prices, payment time line; you don't know which and how many tangible and intangible assets are owned and used by the company, apart from the broad reclassification in the statements, you don't know the value in use of an asset unless it is impaired and in any case how this is calculated,...*



# EXTERNAL DECISION MAKERS (2/2):

## LIMITED INFORMATION PACKAGE AVAILABLE

Financial statements are presented under standard formats, for US GAAP (the so-called **10-K filing**) or for IAS/IFRS companies (**ESEF format**) or for ITA GAAP (the so-called **XBRL format**).

Which is the content of a full set of financial statements?

**Income statement and balance sheet are always compulsory, everywhere.**

All the other statements, notes, reports may be required or not, based on a number of factors (mainly, the size of the entity).

In the following slides there is the comprehensive list of statements, notes and reports that may be required under the different formats applicable.



## Different types of financial statements:

### U.S. Financial Statements (10-K filings)

- required by the U.S. Securities and Exchange Commission (SEC)
- one of the most comprehensive and most important documents a public company can publish on a yearly basis
- information includes corporate history, financial statements, earnings per share, and any other relevant data.
- Requires XBRL tagging

### EU Financial Statements

From 2020, issuers on EU regulated markets are required to prepare their IFRS annual financial reporting in a European Single Electronic Format (ESEF) according to the XBRL format.



# Content

## U.S. Financial Statements (10-K filings)



### 5 distinct sections:

1. **Business:** overview of the company's main operations.
2. **Risk factors:** outline of any and all risks the company faces or may face in the future.
3. **Selected financial data:** financial information about the company over the last five years.
4. **Management's discussion and analysis (MD&A):** financial condition and results of operations.

## EU Financial Statements



### Distinct documents (related to type and size of company)

1. Company's separate financial statements (IS, BS, statement of cash flows and statement of stockholders' equity).
2. Consolidated Financial Statements.
3. Minutes of the shareholders' meeting with the approval of the F.S.
4. Directors' management report.



## U.S. Financial Statements (10-K filings)



### 5 distinct sections:

...

#### **5. Financial statements and supplementary data:**

company's audited financial statements ( the income statement, balance sheet, and statement of cash flows).  
A letter from the company's independent auditor certifying the scope of their review is also included in this section

## EU Financial Statements



### Distinct documents (related to type and size of company)

...

- 5. Board of auditors' report
- 6. List of company associates.
- 7. Audit (firm's) report.



**OTHER REPORTS (Non-Financial Statements/DNF):** ESG report/Sustainability report,...



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# 3. Internal decision makers



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# INTERNAL DECISION MAKERS (1/2):

## FULL INFORMATION PACKAGE AVAILABLE

Internal decision makers (Board of Directors, auditors, key managers, and consultancy companies in charge for projects, ...) have access to the full financial information package.

What do we mean with "full information package"?

### IT DEPENDS ON THE TECH QUALITY OF THE ACCOUNTING SYSTEM

The larger is the company, the more crucial is the accounting system: the IT infrastructure shall be adequate to the number and complexity of transactions.

Main issues:

1. Sometimes, IT systems are not adequate / timely for reporting purposes
2. Interrelations between different accounting software can cause relevant reporting issues (*example of different software in the same company: one to issue invoices to customers, one to match credit card sales with invoices, one to keep track of orders from clients, one to record inventory increase and decrease, one to allocate properly the employees' expenses...*)
3. To use an accounting software, employees must be trained, and training takes time and it is expensive!



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## 4. F/S Reclassification. Key indicators



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# INTRO

As we pointed out before, the “external user” has a limited dataset available, whilst the “internal user” has full access to the financial information of the company.

All the activities related to the F/S analysis can be carried out by both categories of users; nevertheless, obviously, the output generated by an “internal user” can be much more accurate than the output of an “external user”, due to the limited information the external user is provided with.

This is the reason why in the M&A transactions there is the **due diligence period**, during which professionals appointed by the buyer (sometimes in contrast with the professionals appointed by the seller) get access to full set of the Target’s data.

The main F/S analysis activities are:

1. F/S reclassification *(see next slides)*;
2. Calculation of component percentage *(see next slides)*;
3. Ratio analysis *(new set of slides – part 2)*.



# FINANCIAL STATEMENTS RECLASSIFICATION/REFORMULATION

Financial statement reclassification refers to reorganizing items in the balance sheet and income statement into alternative formats to better structure financial information and to calculate a number of main key indicators.

This process, often called financial statement reformulation, helps users derive intermediate/partial results (or ratios), improving the analysis of a firm's performance and financial soundness.

Reformulation generally follows established best practices used in financial statement analysis, although **no formal rules or laws prescribe a single required format.**

Different textbooks and analysts may use different formats or labels, or sometimes the same labels with different meanings; therefore, **CONSISTENCY in definitions and a clear understanding of the concepts are essential.**

In the following slides, reclassification refers to internal-use reformulation, meaning it is prepared by users within the firm who have full access to the company's detailed financial data.



# 4A. Balance Sheet Reclassification



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# BALANCE SHEET RECLASSIFICATION

Different formats provide different information.

As for Balance Sheet, there are formats with focus on

**Liquidity and  
solvency**

**Business  
Functions**

Items of the BS are divided in short/long  
term assets and liabilities

This reclassification classifies the BS items  
according to the company's business (e.g.,  
investment, operations and financing)

## Reclassified balance sheet format with **ONLY** focus on liquidity and solvency



assets are classified according to their liquidity



### ASSETS

#### SHORT-TERM (or CURRENT) ASSETS:

*expected to be converted to cash, sold or consumed during the next 12 months*

- Cash and cash equivalents
- Short-term investments
- Accounts receivable (*net of bad debts allowance*)
- Inventories
- Other short-term assets

#### LONG-TERM (or NON-CURRENT) ASSETS:

*assets that are not short-term*

- Tangible assets (*net of accumulated depreciation*)
- Intangible assets (*net of accumulated amortization*)
- Long-term Investments
- Other long-term assets



liabilities are classified according to their maturity



### LIABILITIES

#### SHORT-TERM (or CURRENT) LIABILITIES: *debts due within one year*

- Accounts payable
- Short term portion of loans;
- Bank overdraft;
- Tax payable;
- Other short-term liabilities

#### LONG-TERM (or NON-CURRENT) LIABILITIES: *debts which are not classified as short-term*

- Loans payable
- Bonds payable
- Long term notes payable
- Other long-term liabilities

#### SHAREHOLDERS' EQUITY

- Common Stock & Additional paid-in capital
- Reserves
- Earnings



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# BALANCE SHEET RECLASSIFICATION

All major consulting firms (see the next slides for two real-life examples from Deloitte and EY) reclassify the balance sheet in a broadly similar way, as follows:

➤ **NET INVESTED CAPITAL**

1. Long-lived assets (tangibles, intangibles, financial)
2. Net Working Capital
  - a. Commercial working capital
  - b. Other operating assets/liabilities

➤ **SOURCES OF FINANCING**

1. Equity
2. Net Financial Position
3. Other liabilities

*We recall that each reclassification may differ depending on the specific needs and the input data available.*

Please find in the next slides further details.



# BALANCE SHEET RECLASSIFICATION – Example 1

Deloitte – courtesy translation provided.

UNEARNED INCREASES

**Subconsolidato – Stato Patrimoniale dic22-dic26**

| Ck                                                           | dic-22<br>Pc  | dic-23<br>Fcst | dic-24<br>Fcst | dic-25<br>Fcst | dic-26<br>Fcst |
|--------------------------------------------------------------|---------------|----------------|----------------|----------------|----------------|
| <b>Attivo Fisso</b> <i>LONG-USED ASSETS</i>                  | <b>25.435</b> | <b>10.895</b>  | <b>9.611</b>   | <b>8.553</b>   | <b>8.042</b>   |
| Magazzino <i>INVENTORIES</i>                                 | 8.711         | 9.592          | 13.615         | 14.887         | 15.184         |
| Crediti commerciali <i>ACC. RECEIVABLES</i>                  | 9.151         | 8.658          | 9.546          | 11.125         | 11.375         |
| Anticipi da clienti <i>ADVANCES FROM CUSTOMERS</i> (1.994)   | (1.994)       | (1.175)        | (2.513)        | (2.881)        | (2.942)        |
| Debiti commerciali <i>ACC. PAYABLES</i> (13.495)             | (13.495)      | (4.902)        | (6.838)        | (8.003)        | (8.183)        |
| <b>Capitale Circolante Commerciale</b> <i>COR. WK</i>        | <b>2.373</b>  | <b>12.172</b>  | <b>13.810</b>  | <b>15.128</b>  | <b>15.433</b>  |
| Altre attività/(passività) <i>OTHER ASSET/LIAB.</i>          | 6.308         | 5.310          | 5.076          | 4.677          | 4.176          |
| <b>Capitale Circolante Netto</b> <i>NET WORKING CAP.</i>     | <b>8.681</b>  | <b>17.482</b>  | <b>18.886</b>  | <b>19.804</b>  | <b>19.609</b>  |
| Fondi <i>PROVISIONS/CONTINGENT LIABIL.</i> (1.652)           | (1.652)       | (1.120)        | (1.127)        | (1.153)        | (1.180)        |
| <b>Capitale Investito Netto</b> <i>NET INVESTED CAPITAL</i>  | <b>32.464</b> | <b>27.257</b>  | <b>27.370</b>  | <b>27.205</b>  | <b>26.471</b>  |
| <b>Patrimonio Netto</b> <i>EQUITY</i> (12.618)               |               | <b>10.869</b>  | <b>11.897</b>  | <b>14.238</b>  | <b>16.944</b>  |
| Finanziamento Infragruppo <i>INTERGROUP FIN. WK</i> 4.192    | 4.192         | -              | -              | -              | -              |
| Finanziamento soci <i>SHAREHOLDER LOAN</i> 14.735            | 14.735        | -              | -              | -              | -              |
| Debito IFRS 16 <i>LEASE PAYABLES</i> 1.986                   | 1.986         | 1.431          | 876            | 321            | -              |
| <b>Debiti / (crediti) vs altri finanziatori</b> <i>OTHER</i> | <b>20.914</b> | <b>1.431</b>   | <b>876</b>     | <b>321</b>     | <b>-</b>       |
| Liquidità <i>CASH</i> (94)                                   | (94)          | (5.371)        | (2.430)        | (1.584)        | (1.806)        |
| Escrow Account (cassa vincolata)                             | -             | (2.000)        | (1.750)        | (1.500)        | (1.500)        |
| Indebitamento BT <i>SHORT-TERM FIN. LIAB.</i> 7.515          | 7.515         | 6.309          | 6.321          | 6.840          | 7.234          |
| Indebitamento MT <i>LT FINANCIAL LIAB.</i> 16.747            | 16.747        | 16.019         | 12.454         | 8.890          | 5.598          |
| <b>Posizione Finanziaria Netta</b> <i>NET FIN. POS.</i>      | <b>24.168</b> | <b>14.957</b>  | <b>14.596</b>  | <b>12.646</b>  | <b>9.527</b>   |
| <b>Fonti di finanziamento</b> <i>SOURCES OF FINANCING</i>    | <b>32.464</b> | <b>27.257</b>  | <b>27.370</b>  | <b>27.205</b>  | <b>26.471</b>  |
| <b>DOI</b>                                                   | <b>88</b>     | <b>256</b>     | <b>199</b>     | <b>185</b>     | <b>185</b>     |
| <b>DSO</b>                                                   | <b>97</b>     | <b>151</b>     | <b>90</b>      | <b>90</b>      | <b>90</b>      |
| <b>DPO</b>                                                   | <b>117</b>    | <b>113</b>     | <b>90</b>      | <b>90</b>      | <b>90</b>      |
| <b>%CCO/Ricavi</b>                                           | <b>7%</b>     | <b>59%</b>     | <b>36%</b>     | <b>34%</b>     | <b>34%</b>     |
| <b>PFN/EBITDA</b>                                            | <b>(1x)</b>   | <b>(7x)</b>    | <b>4x</b>      | <b>3x</b>      | <b>2x</b>      |
| <b>PFN/Patrimonio Netto</b>                                  | <b>(2x)</b>   | <b>1x</b>      | <b>1x</b>      | <b>1x</b>      | <b>1x</b>      |



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## BALANCE SHEET RECLASSIFICATION – Example 2

EY – courtesy translation provided.

| Stato Patrimoniale                                   | 9m23          | FY23B         | FY24B         | FY25B         | FY26B         | FY27B          |
|------------------------------------------------------|---------------|---------------|---------------|---------------|---------------|----------------|
| Immobilizzazioni immateriali <i>INTANGIBLES</i>      | 1.726         | 1.568         | 1.590         | 1.252         | 1.021         | 816            |
| Immobilizzazioni materiali <i>TANGIBLES</i>          | 20.187        | 20.379        | 19.622        | 19.479        | 17.703        | 16.217         |
| Immobilizzazioni finanziarie <i>FIN. ASSETS</i>      | 3.039         | 3.039         | 3.039         | 3.039         | 3.039         | 3.039          |
| Diritti d'uso <i>RIGHT OF USE (LEASING)</i>          | 2.105         | 1.820         | 1.083         | 4.722         | 3.487         | 2.308          |
| <b>Totale immobilizzazioni <i>TOTAL FIXED</i></b>    | <b>27.057</b> | <b>26.807</b> | <b>25.334</b> | <b>28.492</b> | <b>25.250</b> | <b>22.380</b>  |
| Magazzino <i>INVENTORY</i>                           | 14.164        | 14.877        | 15.318        | 15.959        | 16.876        | 17.619         |
| Crediti commerciali <i>ACC. RECEIVABLES</i>          | 14.039        | 13.108        | 14.186        | 14.891        | 16.519        | 16.810         |
| Debiti commerciali <i>AC. PAYABLES</i>               | (11.118)      | (15.331)      | (16.172)      | (17.194)      | (17.579)      | (17.607)       |
| <b>CCN <i>NET WC [CWE]</i></b>                       | <b>17.085</b> | <b>12.654</b> | <b>13.333</b> | <b>13.655</b> | <b>15.815</b> | <b>16.822</b>  |
| Altre Attività <i>OTHER ASSETS</i>                   | 3.520         | 6.497         | 5.443         | 4.477         | 3.621         | 2.991          |
| (Altre Passività) <i>OTHER LIABILITIES</i>           | (7.824)       | (7.716)       | (7.170)       | (6.636)       | (6.300)       | (5.922)        |
| Totale Fondi <i>CONTINGENT LIABILITIES</i>           | (5.080)       | (4.814)       | (4.964)       | (4.964)       | (4.964)       | (4.964)        |
| <b>Capitale Investito Netto <i>NET INV. CAP.</i></b> | <b>34.759</b> | <b>33.428</b> | <b>31.976</b> | <b>35.025</b> | <b>33.422</b> | <b>31.307</b>  |
| Cassa <i>CASH</i>                                    | (1.684)       | (2.893)       | (5.674)       | (7.056)       | (11.098)      | (17.748)       |
| Crediti finanziari <i>FIN. RECEIVABLES</i>           | (27)          | (27)          | (27)          | (27)          | (27)          | (27)           |
| Debiti v banca bt <i>NOTES P. SHORT T.</i>           | 527           | 927           | 2.527         | 2.827         | 2.827         | 2.827          |
| Debiti verso altri finanziatori <i>OTHER FIN. L.</i> | 32            | 32            | 32            | 32            | 32            | 32             |
| Debiti per <del>XXXXX</del> <i>FIN. LIABILITIES</i>  | 1.391         | 1.008         | 457           | -             | -             | -              |
| Nuova finanz. <i>LOANS</i>                           | 13.483        | 11.713        | 10.531        | 9.157         | 9.701         | 10.279         |
| <b>PFN <i>NET FINANCIAL POSITION</i></b>             | <b>13.722</b> | <b>10.760</b> | <b>7.846</b>  | <b>4.932</b>  | <b>1.435</b>  | <b>(4.637)</b> |
| Debito Leasing <i>LEASE PAYABLE</i>                  | 2.105         | 1.820         | 1.083         | 4.722         | 3.487         | 2.308          |
| <b>PFN + Leasing</b>                                 | <b>15.827</b> | <b>12.581</b> | <b>8.929</b>  | <b>9.655</b>  | <b>4.922</b>  | <b>(2.330)</b> |
| Capitale sociale <i>COMMON STOCK</i>                 | 21.230        | 21.230        | 21.230        | 21.230        | 21.230        | 21.230         |
| Utile/(perdita) a Nuovo <i>RET. EARNINGS</i>         | (17.515)      | (17.515)      | (16.100)      | (13.900)      | (11.577)      | (8.447)        |
| Utile/(perdita) d'esercizio <i>NET INCOME</i>        | 3.161         | 1.415         | 2.200         | 2.322         | 3.130         | 5.136          |
| Riserve <i>RESERVES</i>                              | 12.057        | 15.717        | 15.717        | 15.717        | 15.717        | 15.717         |
| <b>Patrimonio netto <i>EQUITY</i></b>                | <b>18.932</b> | <b>20.847</b> | <b>23.047</b> | <b>25.370</b> | <b>28.500</b> | <b>33.636</b>  |
| <b>Fonti <i>SOURCES</i></b>                          | <b>34.759</b> | <b>33.428</b> | <b>31.976</b> | <b>35.025</b> | <b>33.422</b> | <b>31.307</b>  |



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# BALANCE SHEET RECLASSIFICATION - details

**NET INVESTED CAPITAL** is total assets, less all the “operating” liabilities. It can be defined as “all the resources the company uses, net of the liabilities related to operations”. It is divided into two categories: long-lived assets and Net Working Capital (NWC).

- 1) **Long-lived assets (tangibles, intangibles, financial):** This section totals the net book value of all long-lived assets. Usually they are aggregated; if a single asset is significant for the analysis, then it is presented stand-alone.
- 2) **Net Working Capital:** This section includes all the current, operating assets, net of the current, operating liabilities, and it is divided into two sub-sections:
  - a. **Commercial working capital:** This is the net total of ONLY the following: inventories (+), accounts receivable (+), accounts payable (-). Note that all accounts are net of any contra-asset (e.g., allowance for doubtful accounts)
  - b. **Other operating assets/liabilities:** This section includes all the other assets and liabilities with an operating nature: wages payable, prepaid expenses (if they have an operating nature), unearned revenues, social security payable, withholding tax payables, contingent liabilities (e.g., provisions for warranties), tax assets (e.g., VAT receivable), tax liabilities (e.g., Income tax payable)



# BALANCE SHEET RECLASSIFICATION - details

**SOURCES OF FINANCING:** This total does not coincide with the amount of *total liabilities and equity* in the balance sheet because, as noted earlier, operating liabilities are subtracted from assets in order to calculate **Net Invested Capital**. This amount therefore represents how the net assets are financed (i.e., it reflects the company's financing structure).

1. **Equity** corresponds to the amount reported in the financial statements.
2. **Net Financial Position (NFP)** is the most important metric in the financial statements analysis together with EBITDA (see slideset Part 3). It is calculated as: (i) total financial liabilities (both short-term and long-term, which include lease liabilities and, in most cases, exclude intra-group financial liabilities) minus (ii) cash and cash equivalents (e.g., financial receivables).

$$\text{NFP} = \text{total Financial Liabilities} - \text{Cash and Cash equivalents}$$

3. **Other liabilities** include shareholder loans and other intra-group financial liabilities. These are liabilities of a financial nature but with a lower risk profile (if a subsidiary is unable to repay a shareholder loan, it is unlikely that the shareholder would initiate bankruptcy proceedings against the subsidiary). In addition, this category includes any dividends payable.



# 4B. Income Statement Reclassification



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# INCOME STATEMENT RECLASSIFICATION

For FSA, income statements can be presented in different formats depending on the analysts' objectives. In many cases, the standard formats required by accounting standards (e.g., US GAAP or IFRS) already provide a useful starting point for analysis, since they contain most of the information needed and usually require only limited adjustments.

The first section of the income statement, leading up to **EBITDA**, is often *highly flexible*. Firms may structure this part differently depending on their industry characteristics (e.g., merchandising, manufacturing, or services).

After EBITDA, the structure of the income statement becomes more standardized:

- Subtract Depreciation and Amortization → **EBIT**
- Adjust for financial and extraordinary items → **EBT**
- Subtract income taxes → **Net Income**

The next slide presents a standard example of a reclassified income statement for a merchandising company.



# INCOME STATEMENT RECLASSIFICATION

## A Merchandise Company Standard Format

+ Net sales

- Cost of goods sold

= **GROSS PROFIT (= GROSS MARGIN)**

+ Other operating revenues

- Selling, General and Administrative expenses

= **EBITDA (Earnings before interests, taxes, depreciation and amortization)**

- Depreciation and amortization expense

= **EBIT (Earnings before interests and taxes)**

+/- Net Non-Recurring Items

+ Interest & financial revenues

- Interest expense and financial charges

= **Income before Taxes (EBT, Earning before taxes)**

- Income taxes

= **Net Income**

# INCOME STATEMENT RECLASSIFICATION – Example 1

Real Company Management Report (Internal use)  
courtesy translation provided - Amount €/000

| € '000                        |                       |              |
|-------------------------------|-----------------------|--------------|
| Totale ricavi delle vendite   | SALES REVENUES        | 63.303       |
| Consumi di materie prime      | COST OF GOODS SOLD    | (53.470)     |
| Margine primo Livello         | GROSS MARGIN          | 9.834        |
| MpL margin %                  |                       | 15,5%        |
| Costi diretti                 |                       | (2.400)      |
| Margine di contribuzione      | CONTRIBUTION MARGIN   | 7.434        |
| MdC margin %                  |                       | 11,7%        |
| Costi di struttura            | OVERHEADS             | (3.564)      |
| Costi per servizi             | SERVICE exp.          | (1.455)      |
| Oneri diversi di gestione     | OTHER EXPENSES        | (468)        |
| <b>EBITDA</b>                 |                       | <b>1.947</b> |
| EBITDA margin %               |                       | 3,1%         |
| Ammortamenti e Accantonamenti | DEPR. AM. ALLOW.      | (3.242)      |
| EBIT                          |                       | (1.294)      |
| EBIT margin %                 |                       | -2,0%        |
| Proventi/Oneri finanziari     | FINANCIAL INCOME/exp  | (2.130)      |
| Proventi/Oneri straordinari   | EXTRAORDINARY INC/EXP | (1.014)      |
| EBT                           |                       | (4.438)      |
| Imposte                       | TAXES                 | 29           |
| Risultato netto               | NET INCOME            | (4.409)      |



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## INCOME STATEMENT RECLASSIFICATION – Example 2

Deloitte – courtesy translation provided

### Subconsolidato – Conto economico FY22 - FY26

| Ck                                                   | 2022<br>Bdg     | 2023<br>Fcst   | 2024<br>Fcst  | 2025<br>Fcst  | 2026<br>Fcst  |
|------------------------------------------------------|-----------------|----------------|---------------|---------------|---------------|
| Ricavi <i>SALE REVENUES</i>                          | 32.359          | 20.669         | 38.184        | 44.500        | 45.500        |
| Altri ricavi <i>OTHER REVENUES</i>                   | 1.653           | -              | -             | -             | -             |
| <b>Ricavi Totali <i>TOTAL REVENUES</i></b>           | <b>34.013</b>   | <b>20.669</b>  | <b>38.184</b> | <b>44.500</b> | <b>45.500</b> |
| Var YoY                                              | 8%              | (39%)          | 85%           | 17%           | 2%            |
| Costi diretti <i>DIRECT COSTS</i>                    | (35.962)        | (13.680)       | (24.922)      | (29.349)      | (30.012)      |
| <b>Gross Margin</b>                                  | <b>(1.949)</b>  | <b>6.990</b>   | <b>13.262</b> | <b>15.151</b> | <b>15.488</b> |
| Gross Margin % <i>(selling exp.)</i>                 | (6%)            | 34%            | 35%           | 34%           | 34%           |
| Costi commerciali <i>COMMERCIAL COSTS</i>            | (1.515)         | (652)          | (1.215)       | (1.422)       | (1.454)       |
| <b>Net commercial margin</b>                         | <b>(3.463)</b>  | <b>6.337</b>   | <b>12.047</b> | <b>13.729</b> | <b>14.034</b> |
| Net Commercial Margin %                              | (10%)           | 31%            | 32%           | 31%           | 31%           |
| Costi di struttura <i>GA EXPENSES</i>                | (13.039)        | (8.527)        | (8.476)       | (8.853)       | (9.251)       |
| <b>EBITDA</b>                                        | <b>(16.502)</b> | <b>(2.190)</b> | <b>3.571</b>  | <b>4.876</b>  | <b>4.783</b>  |
| EBITDA %                                             | (49%)           | (11%)          | 9%            | 11%           | 11%           |
| Amm.ti / Acc.ti / Sval. <i>DEPR./AMORTIS.</i>        | (3.769)         | (1.516)        | (1.485)       | (1.257)       | (711)         |
| <b>EBIT</b>                                          | <b>(20.272)</b> | <b>(3.706)</b> | <b>2.086</b>  | <b>3.619</b>  | <b>4.071</b>  |
| Proventi (Oneri) Straordinari <i>NON RECURRING</i>   | (1.716)         | (1.330)        | -             | -             | -             |
| Proventi (Oneri) Finanziari <i>FINANCIAL NET/EXP</i> | (973)           | (683)          | (655)         | (602)         | (544)         |
| Imposte <i>INCOME TAXES</i>                          | (195)           | -              | (403)         | (677)         | (822)         |
| <b>Risultato d'esercizio <i>NET INCOME</i></b>       | <b>(23.155)</b> | <b>(5.720)</b> | <b>1.028</b>  | <b>2.340</b>  | <b>2.706</b>  |



# INCOME STATEMENT RECLASSIFICATION - details

**NET SALES:** this is always the first item in a multiple step income statement, and it consists of total sales net of returns and allowances.

**COST OF GOODS SOLD:** this is often reported in a more detailed way. In particular:

for a merchandising company, CGS is:

**Purchases (i.e., cost of merchandise purchased) +/-  $\Delta$  inventory**

for a manufacturing company, CGS is:

**Production costs (typically listed in detail) +/-  $\Delta$  inventory**

**GROSS PROFIT (OR GROSS MARGIN)** gives an idea of how profitable the core of the business activity is. The profitability at this level must be able to cover all the other expenses the company has to bear. Problems at this level are very alarming!

**OTHER OPERATING REVENUES** include (if any) other revenues arising from the operating activity, such as rentals, license fees, etc.



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# INCOME STATEMENT RECLASSIFICATION - details

**GENERAL AND ADMINISTRATIVE EXPENSES** typically include, for example:

- Administrative staff salaries, bonuses etc. and related costs (including social security and pensions costs)
- Directors' executive salaries and related costs;
- Costs related to fixed assets used for the G&A activity (e.g., depreciation and maintenance of buildings, etc.);
- Research costs;
- Professional fees.

**SELLING EXPENSES** typically include:

- Sales salaries, commissions and bonuses and related costs (including social security and pension costs);
- Advertising and promotion costs;
- Warehousing costs;
- Transportation costs;
- Costs related to fixed assets used in the selling activity (including depreciation and maintenance costs).



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# INCOME STATEMENT RECLASSIFICATION - details

**EBITDA** is operating income before depreciation and amortization. This is the most important metric in the financial statements analysis together with NFP (see slide set Part 3).

**DEPRECIATION AND AMORTIZATION** represent the depreciation and amortization of long-lived assets. They are routine, non-cash operating charges. In contrast, reversals and impairments are classified as extraordinary items.

**OPERATING INCOME** is often called **EBIT**, that is “Earnings before interest and taxes”.

- O.I. is one of the most important pieces of information on which one should focus to analyze financial statements: it shows **if** and **how profitable** is the **core activity** of the company, no matter how such activity is financed.
- O.I. should tend to be **stable** in time, if no change in the strategy of the company takes place.
- If O.I. is negative or too low, a restructuring process is probably needed to save the company.



# INCOME STATEMENT RECLASSIFICATION - details

**NET NON-RECURRING ITEMS** also referred to as **Extraordinary items** comprise revenues, gains, costs, or losses that arise outside ordinary operations and are therefore not representative of the firm's normal earning capacity.

- Typical examples include capital gains generated by the sale of an entire business segment (rather than by the disposal of operating assets in the ordinary course of business which might be included in the "other revenues"), material write-downs of long-lived assets due to one-off events (e.g., Impacting changes in legislation), and provisions related to exceptional and unpredictable events such as fires, thefts, or accidents.
- Under current accounting frameworks extraordinary items are no longer presented as a distinct category on the published income statement. Instead, they are generally incorporated within ordinary income statement line items and must be identified through adequate disclosure in the notes to the financial statements. This approach is intended to enhance comparability across firms and to reduce the risk of opportunistic presentation by management.



# INCOME STATEMENT RECLASSIFICATION - details

## NET NON-RECURRING ITEMS (cont'd):

- From the standpoint of financial statement analysis, extraordinary or non-recurring items should be isolated and reclassified below EBIT in order to obtain a more accurate measure of sustainable profitability and core operating performance. However, the identification of such items is inherently judgmental and subject to managerial discretion. For this reason, analysts must evaluate these classifications critically, as firms may have incentives to present recurring operating costs as one-off items in order to inflate adjusted earnings.

Then we have the **FINANCIAL REVENUES AND EXPENSES**, the **EARNINGS BEFORE TAXES (EBT)**, **TAXES** and **NET INCOME**.

- As we saw in the cash flow statement, taxes are not broken down even though they may include components related to financing or extraordinary activities. Instead, they are presented as a single amount, reflecting the overall tax impact on the company. From an investor's perspective, what matters is the total tax burden affecting the company rather than separating it into different components.



# 4C. Comparative Analysis



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# THE IMPORTANCE OF COMPARABILITY

To properly analyze the information reported in financial statements, it is necessary to develop appropriate comparisons



Two general methods for making financial comparisons



## COMPARISON ACROSS TIME

### Time-series analysis

Information for a single company is compared over time



## COMPARISON ACROSS COMPANIES

### Cross-sectional analysis

Information for multiple companies is compared at a point in time or across time

#### Typically:

- key competitors
- industry average



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# COMPARISON APPROACHES

## Horizontal approach

- Line-by-line comparison of the accounts with those of the previous year.
- It provides, over several years, a trend of changes, indicating decline or growth (i.e., a time series analysis).

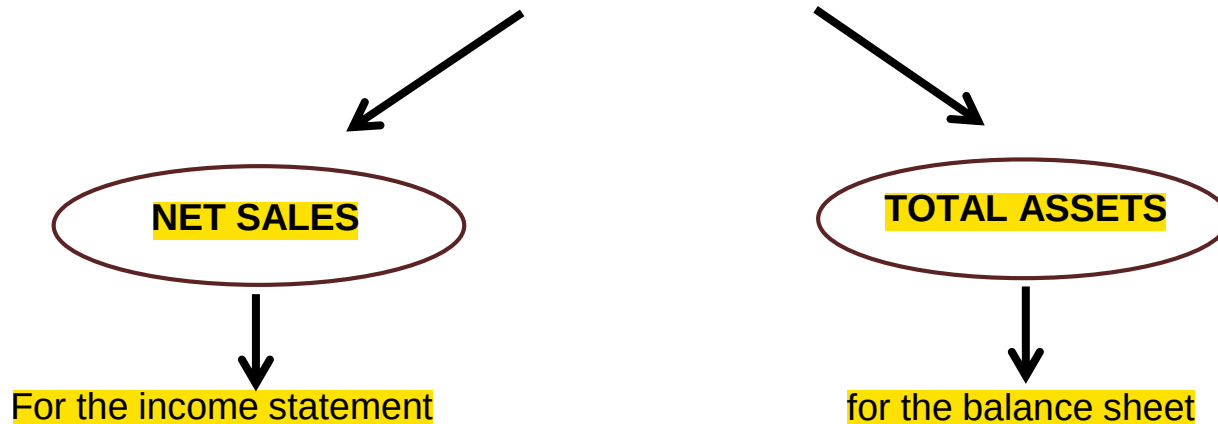
## Vertical approach

- It provides evidence of structural changes in the accounts: i.e., increased profitability through more efficient production, or greater dependence on borrowing to finance new investment.
- “component percentage”: expression of each item on a financial statement as a percentage of a single base amount.



# COMPONENT PERCENTAGES

**Component percentages** express each item on a particular financial statement as a percentage of a **single base amount**.





## HORIZONTAL ANALYSIS– Example

Horizontal (Time series): analyze the trend of a specific item (e.g., Sales) over time (2006 to 2009, in this case)

### OVERVIEW OF GROUP RESULTS

| (in millions of Euro)                      | 2006          |          | 2007          |          | 2008          |          | 2009          |          |
|--------------------------------------------|---------------|----------|---------------|----------|---------------|----------|---------------|----------|
|                                            | <i>Amount</i> | <i>%</i> | <i>Amount</i> | <i>%</i> | <i>Amount</i> | <i>%</i> | <i>Amount</i> | <i>%</i> |
| Sales revenues                             | 1,018.6       | 100.0%   | 1,071.8       | 100.0%   | 1,017.5       | 100.0%   | 781.0         | 100.0%   |
| EBITDA                                     | 128.5         | 12.6%    | 134.6         | 12.6%    | 104.9         | 10.3%    | 47.2          | 6.0%     |
| Operating result                           | 106.6         | 10.5%    | 113.6         | 10.6%    | 87.6          | 8.6%     | 33.7          | 4.3%     |
| Ebit                                       | 83.5          | 8.2%     | 89.9          | 8.4%     | 62.4          | 6.1%     | 5.1           | 0.6%     |
| Result before taxes and minority interests | 74.9          | 7.4%     | 80.6          | 7.5%     | 48.2          | 4.7%     | (5.6)         | -0.7%    |
| Net result                                 | 50.8          | 5.0%     | 52.2          | 4.9%     | 28.5          | 2.8%     | (7.6)         | -1.0%    |
| Self-financing                             | 91.2          |          | 94.8          |          | 66.3          |          | 34.8          |          |
| Free cash flow                             | 58.6          |          | 55.9          |          | (6.9)         |          | 90.0          |          |
| Net financial position                     | (126.3)       |          | (92.4)        |          | (257.2)       |          | (170.2)       |          |
| Total shareholders' equity                 | 295.7         |          | 326.7         |          | 178.3         |          | 182.2         |          |
| GEARING                                    | 0.43          |          | 0.28          |          | 1.44          |          | 0.93          |          |
| ROI                                        | 19.6%         |          | 21.4%         |          | 14.6%         |          | 1.3%          |          |
| ROE                                        | 19.3%         |          | 17.7%         |          | 12.1%         |          | -4.7%         |          |
| Number of employees at December 31         | 6,168         |          | 6,208         |          | 6,100         |          | 5,770         |          |
| Dividends per share (Euro)                 | 0.20          |          | 0.22          | (*)      | -             |          | -             | (**)     |
| EPS (Euro)                                 | 0.457         |          | 0.465         |          | 0.250         |          | (0.067)       |          |
| Average annual price per share             | 5.4643        |          | 6.5352        |          | 2.8443        |          | 1.2986        |          |

(\*) plus € 1.18 as extraordinary dividend per share

(\*\*) as proposed by the Board of Directors to the Shareholders' Meeting



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## VERTICAL ANALYSIS– Example

Vertical (Percentages Components): analyze the trend of a specific item (e.g. EBIT) as percentage of a given base amount (Sales, in this case)

### OVERVIEW OF GROUP RESULTS

| (in millions of Euro)                      | 2006    |        | 2007     |        | 2008    |        | 2009    |        |
|--------------------------------------------|---------|--------|----------|--------|---------|--------|---------|--------|
|                                            | Amount  | %      | Amount   | %      | Amount  | %      | Amount  | %      |
| Sales revenues                             | 1,018.6 | 100.0% | 1,071.8  | 100.0% | 1,017.5 | 100.0% | 781.0   | 100.0% |
| EBITDA                                     | 128.5   | 12.6%  | 134.6    | 12.6%  | 104.9   | 10.3%  | 47.2    | 6.0%   |
| Operating result                           | 106.6   | 10.5%  | 113.6    | 10.6%  | 87.6    | 8.6%   | 33.7    | 4.3%   |
| Ebit                                       | 83.5    | 8.2%   | 89.9     | 8.4%   | 62.4    | 6.1%   | 5.1     | 0.6%   |
| Result before taxes and minority interests | 74.9    | 7.4%   | 80.6     | 7.5%   | 48.2    | 4.7%   | (5.6)   | -0.7%  |
| Net result                                 | 50.8    | 5.0%   | 52.2     | 4.9%   | 28.5    | 2.8%   | (7.6)   | -1.0%  |
| Self-financing                             | 91.2    |        | 94.8     |        | 66.3    |        | 34.8    |        |
| Free cash flow                             | 58.6    |        | 55.9     |        | (6.9)   |        | 90.0    |        |
| Net financial position                     | (126.3) |        | (92.4)   |        | (257.2) |        | (170.2) |        |
| Total shareholders' equity                 | 295.7   |        | 326.7    |        | 178.3   |        | 182.2   |        |
| GEARING                                    | 0.43    |        | 0.28     |        | 1.44    |        | 0.93    |        |
| ROI                                        | 19.6%   |        | 21.4%    |        | 14.6%   |        | 1.3%    |        |
| ROE                                        | 19.3%   |        | 17.7%    |        | 12.1%   |        | -4.7%   |        |
| Number of employees at December 31         | 6,168   |        | 6,208    |        | 6,100   |        | 5,770   |        |
| Dividends per share (Euro)                 | 0.20    |        | 0.22 (*) |        | -       |        | - (**)  |        |
| EPS (Euro)                                 | 0.457   |        | 0.465    |        | 0.250   |        | (0.067) |        |
| Average annual price per share             | 5.4643  |        | 6.5352   |        | 2.8443  |        | 1.2986  |        |

(\*) plus € 1.18 as extraordinary dividend per share

(\*\*) as proposed by the Board of Directors to the Shareholders' Meeting



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## F/S COMPONENT PERCENTAGES – Example

## SAFILO GROUP S.P.A. - Common-Size Statements

| Balance sheet                                                        | 2013             | 2013%       | 2014             | 2014%       | 2015             | 2015%       | 2016             | 2016%       | 2017             | 2017%       |
|----------------------------------------------------------------------|------------------|-------------|------------------|-------------|------------------|-------------|------------------|-------------|------------------|-------------|
| Current assets                                                       | 594,181          | 41%         | 653,690          | 41%         | 640,388          | 40%         | 682,085          | 45%         | 604,614          | 52%         |
| Plant, property, and equipment, net                                  | 791,386          | 54%         | 848,820          | 53%         | 853,653          | 54%         | 711,491          | 47%         | 474,547          | 41%         |
| Other non current assets                                             | 80,070           | 5%          | 95,395           | 6%          | 96,764           | 6%          | 133,485          | 9%          | 81,326           | 7%          |
| <b>Total assets</b>                                                  | <b>1,465,637</b> | <b>100%</b> | <b>1,597,905</b> | <b>100%</b> | <b>1,590,805</b> | <b>100%</b> | <b>1,527,061</b> | <b>100%</b> | <b>1,160,487</b> | <b>100%</b> |
| Current liabilities                                                  | 345,534          | 24%         | 377,010          | 24%         | 361,943          | 23%         | 408,363          | 27%         | 420,488          | 36%         |
| Total non current liabilities                                        | 274,041          | 19%         | 246,639          | 15%         | 230,258          | 14%         | 245,894          | 16%         | 206,794          | 18%         |
| Shareholders' equity                                                 | 846,062          | 58%         | 974,256          | 61%         | 998,604          | 63%         | 872,804          | 57%         | 533,205          | 46%         |
| <b>Total liabilities and shareholders' equity</b>                    | <b>1,465,637</b> | <b>100%</b> | <b>1,597,905</b> | <b>100%</b> | <b>1,590,805</b> | <b>100%</b> | <b>1,527,061</b> | <b>100%</b> | <b>1,160,487</b> | <b>100%</b> |
|                                                                      |                  |             |                  |             |                  |             |                  |             |                  |             |
| Statement of Income                                                  | 2013             | 2013%       | 2014             | 2014%       | 2015             | 2015%       | 2016             | 2016%       | 2017             | 2017%       |
| Revenues                                                             | 1,121,531        | 100%        | 1,178,683        | 100%        | 1,278,960        | 100%        | 1,252,931        | 100%        | 1,046,955        | 100%        |
| Cost of sales                                                        | 437,841          | 39%         | 460,129          | 39%         | 522,004          | 41%         | 537,305          | 43%         | 527,406          | 50%         |
| <b>Gross margin</b>                                                  | <b>683,690</b>   | <b>61%</b>  | <b>718,554</b>   | <b>61%</b>  | <b>756,956</b>   | <b>59%</b>  | <b>715,626</b>   | <b>57%</b>  | <b>519,549</b>   | <b>50%</b>  |
| Total selling and administrative expense and other operating revenue | 608,966          | 54%         | 643,288          | 55%         | 755,114          | 59%         | 831,894          | 66%         | 727,724          | 70%         |
| <b>Operating income</b>                                              | <b>74,724</b>    | <b>7%</b>   | <b>75,266</b>    | <b>6%</b>   | <b>1,842</b>     | <b>0%</b>   | <b>-116,268</b>  | <b>-9%</b>  | <b>-208,175</b>  | <b>-20%</b> |
| Interest and financial income                                        | 11,529           | 1%          | 32,850           | 3%          | 28,299           | 2%          | 42,394           | 3%          | 27,899           | 3%          |
| Interest expenses and financial charges                              | 36,191           | 3%          | 43,253           | 4%          | 55,700           | 4%          | 48,748           | 4%          | 41,895           | 4%          |
| <b>Income before income taxes</b>                                    | <b>50,062</b>    | <b>4%</b>   | <b>64,863</b>    | <b>6%</b>   | <b>-25,559</b>   | <b>-2%</b>  | <b>-122,622</b>  | <b>-10%</b> | <b>-222,171</b>  | <b>-21%</b> |
| Income taxes                                                         | 34,089           | 3%          | 25,409           | 2%          | 26,854           | 2%          | 19,479           | 2%          | 29,396           | 3%          |
| <b>Net income</b>                                                    | <b>15,973</b>    | <b>1%</b>   | <b>39,454</b>    | <b>3%</b>   | <b>-52,413</b>   | <b>-4%</b>  | <b>-142,101</b>  | <b>-11%</b> | <b>-251,567</b>  | <b>-24%</b> |

# I/S RECLASSIFICATION + COMPONENT PERCENTAGES – Example

*Adopted from Textbook*

## Item. 7 Management's Discussion and Analysis of Financial Condition and Results of Operations.

### RESULTS OF OPERATIONS

The following table presents the percentage relationship between net sales and major categories in our consolidated statements of earnings:

| <i>dollars in millions</i>                 | Fiscal 2023      |             | Fiscal 2022      |              | Fiscal 2021      |              |
|--------------------------------------------|------------------|-------------|------------------|--------------|------------------|--------------|
| Net sales                                  | \$ 152,669       | 100.0%      | \$ 157,403       | 100.0%       | \$ 151,157       | 100.0%       |
| Cost of sales                              | 101,709          | 66.6        | 104,625          | 66.5         | 100,325          | 66.4         |
| Gross profit                               | 50,960           | 33.4        | 52,778           | 33.5         | 50,832           | 33.6         |
| Operating expenses:                        |                  |             |                  |              |                  |              |
| Selling, general, and administrative       | 26,598           | 17.4        | 26,284           | 16.7         | 25,406           | 16.8         |
| Depreciation and amortization              | 2,673            | 1.8         | 2,455            | 1.6          | 2,386            | 1.6          |
| Total operating expenses                   | 29,271           | 19.2        | 28,739           | 18.3         | 27,792           | 18.4         |
| <b>Operating income</b>                    | 21,689           | 14.2        | 24,039           | 15.3         | 23,040           | 15.2         |
| Interest and other (income) expense:       |                  |             |                  |              |                  |              |
| Interest income and other, net             | (178)            | (0.1)       | (55)             | —            | (44)             | —            |
| Interest expense                           | 1,943            | 1.3         | 1,617            | 1.0          | 1,347            | 0.9          |
| Interest and other, net                    | 1,765            | 1.2         | 1,562            | 1.0          | 1,303            | 0.9          |
| Earnings before provision for income taxes | 19,924           | 13.1        | 22,477           | 14.3         | 21,737           | 14.4         |
| Provision for income taxes                 | 4,781            | 3.1         | 5,372            | 3.4          | 5,304            | 3.5          |
| <b>Net earnings</b>                        | <u>\$ 15,143</u> | <u>9.9%</u> | <u>\$ 17,105</u> | <u>10.9%</u> | <u>\$ 16,433</u> | <u>10.9%</u> |

Net sales will be set to 100 percent, and all other components are expressed as a percentage of net sales.



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# Conclusive remarks of slide set 1



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# FINANCIAL STATEMENTS ANALYSIS WORKFLOW

*AFTER* having:

1. **Reclassified the Trial Balance**, for both the Income Statement (IS) and the Balance Sheet (BS), calculating the main key indicators;
2. Performed the same analysis over multiple years and in percentage terms (**Horizontal and Vertical analysis**);
3. Where necessary, performed the same analysis on **competitors** (Benchmarking);

*THEN*, it is possible to proceed to the following steps:

- The work involving **Ratio Analysis** (Set 2 of slides)
- If applicable, the **Valuation** (e.g., using Multiples) (Set 3 of slides).



# Thank you!



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See you next time: FSA Part 2